IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.301

CA(CAA)/30(AHM)2023

Proceedings under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Welspun Metallics Limited (Transferor Co.) **.....Applicant**
Welspun Corp Limited (Transferee Co.)

Order delivered on 22/06/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CA (CAA)/30(AHM)2023

[Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Amalgamation

OF

Welspun Metallics Limited

(Applicant Transferor Company/Transferor Company)

WITH

Welspun Corp Limited

(Applicant Transferee Company/Transferee Company)

And

Their Respective Shareholders and Creditors

Order Pronounced on 22.06.2023

CORAM:

SHAMMI KHAN
HON'BLE MEMBER (JUDICIAL)

AJAI DAS MEHROTRA
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

Welspun Metallics Limited
(CIN: U27100GJ2020PLC115168)
Registered address at;
Survey No. 650, Welspun City, Village Versamedi,
Taluka Anjar, Dist. Kutch,
Gujarat – 370 110

....Applicant Transferor Company

Welspun Corp Limited
(CIN: L27100GJ1995PLC025609)
Registered address at;
Welspun City, Village Versamedi,
Taluka Anjar, Dist. Kutch,
Gujarat – 370 110

....Applicant Transferee Company

Appearance:

For the Applicant: Ms. Dharmishta N. Raval, Ld. Adv. appeared for the Applicant Companies.

ORDER

1. The present joint application is filed on 30.03.2023 under sections 230-232 with other applicable provisions of the Companies Act, 2013 (hereinafter referred to as **"the Act"**) and read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016. The proposed Scheme of Amalgamation is between Welspun Metallics Limited (for brevity - "Applicant Transferor Company") with Welspun Corp Limited (for brevity - "Applicant Transferee Company") and their respective

Shareholders and Creditors with effect from the Appointed Date i.e. 1st April, 2022.

2. Affidavit in support of the above application sworn by Mr. Akhil Pillai on behalf of both the Applicant Companies being the authorized representative for both the Applicant Companies duly authorized vide respective Board Resolutions dated 14th March, 2023 for the Respective Applicant Companies, which is placed on record.

3. It is submitted that the registered office of both the Applicant Companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat which are falling under the jurisdiction of this Tribunal.

4. It is submitted that the Transferor Company having CIN: U27100GJ2020PLC115168 is incorporated, under the provisions of the Companies Act, 2013 in the State of Gujarat on 31st July, 2020. The registered address of the Transferor Company is situated at; Survey No. 650, Welspun City, Village Versamedi, Taluka Anjar, Dist. Kutch, Gujarat – 370 110. As on 31st December 2022, the Authorised Share Capital of the Transferor Company was Rs. 500,00,00,000/- which is divided into 13,00,00,000 equity shares of Rs. 10/- each and 37,00,00,000 preference shares of Rs. 10/- each and the Issued, Subscribed and Paid-up Share Capital was Rs. 460,00,00,000/- divided into 11,80,00,000 equity shares of Rs. 10/- each and 34,20,00,000 preference shares of Rs. 10/- each. It is submitted that the entire issued, subscribed and paid-up capital of the Transferor

Company is held by the Transferee Company. Accordingly, the Transferor Company is a wholly owned subsidiary of the Transferee Company.

5. It is submitted that the Transferee Company having CIN: L27100GJ1995PLC025609 was incorporated under the provisions of the Companies Act, 1956 in the State of Gujarat, in the name of Welspun Stahl Rohren Limited on 26th April 1995. Pursuant to issue of fresh certificate of incorporation consequent upon change of name dated 26th February 1997, the name of Welspun Stahl Rohren Limited was changed to Welspun-Gujarat Stahl Rohren Limited. Subsequently, pursuant to issue of fresh certificate of incorporation consequent upon change of name dated 27th April 2010, the name of Welspun-Gujarat Stahl Rohren Limited was changed to Welspun Corp Limited. The registered address of the Transferee Company is situated at Welspun City, Village Versamedi, Taluka Anjar, Dist. Kutch, Gujarat – 370 110. As on 31st December 2022, the Authorised Share Capital of the Transferee Company is Rs. 552,05,00,000/- which is divided into 30,41,00,000 equity shares of Rs. 5/- each and 40,00,00,000 preference shares of Rs. 10/- each and the Issued, Subscribed and Paid-up Share Capital is Rs. 482,27,62,685/- which is divided into 26,15,29,395 equity shares of Rs. 5/- each and 35,15,11,571 preference shares of Rs. 10/- each.

6. Applicant Companies are empowered by their respective Memorandum of Association and Articles of Association to enter

into a Scheme of Amalgamation. Copies of Memorandum and Articles of Association of both the Applicant Companies are placed on record. The audited financial statements as on 31.03.2022 and provisional financials as on 31.12.2022 of both the Applicant Companies are placed on record.

7. The Board of Directors of both the Applicant Companies have approved the Scheme of Amalgamation at their respective Board Meetings held on 14.03.2023. Copies of respective Board Resolutions passed on 14.03.2023 of both the Applicant Companies are placed on record.

8. RATIONALE OF THE SCHEME

The Scheme is expected to achieve the following:

(i) The Transferor Company and the Transferee Company are engaged in the business of manufacture and sale of steel and steel products and their proposed merger will create synergies between the businesses, including pooling of their financial, managerial, technical, distribution, marketing and other resources. The proposed merger is expected to, inter-alia, result in reduction of costs, better alignment, coordination and streamlining of day-to-day operations of the units;

(ii) The consolidation will result in earning predictability, stronger revenue and improved competitiveness, with diversification in product portfolio thereby reducing business risks for the benefit of the shareholders. This

will result in strong presence across market segments, provide access to new markets and product offerings along with better bargaining power with customers/suppliers;

(iii) Consolidation and optimization of stockyards could significantly reduce logistics and distribution costs for both companies, Clubbing of shipments may help reduce shipping costs, port terminal charges and ocean freight;

(iv) Greater economies of scale and operational efficiencies which will provide a larger and stronger base for potential future growth;

(v) The Transferor Company is a new company which is yet to stabilize production and scaling up, while the Transferee Company is an existing stable company with a strong balance sheet, and by merging the Transferor Company with the Transferee Company there are many cost reductions and efficiencies that can be created;

(vi) Presently the loan borrowed by the Transferor Company are guaranteed by the Transferee Company and has higher cost of debt. The proposed merger will enable raising funds at relatively lower cost by leveraging on the strong fundamentals of the Transferee Company;

(vii) Streamlining the structure of the Transferee Company and making it simple and transparent; and

(viii) Reducing the multiplicities of legal and regulatory compliances.

9. The Transferee Company provided certificate from Statutory Auditors confirming that the proposed accounting treatment conforms to the applicable Accounting Standards under section 133 of the Companies Act, 2013 and a copy of the same is annexed with the application.

10. It is submitted by the Applicant Companies that the Applicant Companies are part of the same group. Accordingly, the provisions of the Competition Act, 2002 are not applicable in the present case as merger or amalgamation of two enterprises in which more than fifty per cent (50%) shares or voting rights in each of such enterprises are held by enterprise(s) within the same group is specifically exempt under Schedule I of The Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011.

11. It is further submitted that there is no foreign shareholder in the Transferor Company and no shares are proposed to be issued to a foreign shareholder. Hence, no notice is required to be issued to Reserve Bank of India.

12. The Applicant Companies submitted that the Regional Director, North-West Region, Ministry of Corporate Affairs has conducted a

search on the Transferee Company under Section 206(5) of the Companies Act, 2013 and had issued a show-cause notice for alleged non-compliances under various provisions of the Companies Act, 2013. The Transferee Company had submitted its response to the aforesaid show-cause notice. Further the proceeding in the matter is pending as on the date of this application. Except for the above, no investigation or proceedings under the Companies Act, 1956/2013 have been instituted or are pending in relation to the Applicant Companies and further submitted that No winding up/Liquidation Proceedings/Corporate Insolvency Resolution Process is pending against the Applicant Companies.

13. It is submitted by the Applicant Companies that the Transferee Company is a listed entity and the Scheme involves merger of wholly owned subsidiary with the holding company, in terms of provisions contained in Master Circular issued by Securities and Exchange Board of India (SEBI/HO/CFD/DIL1/CIR/P/2021/0000000665) dated 23rd November 2021, observations / no-objection letter from Securities and Exchange Board of India, BSE Limited and National Stock Exchange of India Limited is not required. However, in terms of the said master circular, the Applicant Transferee Company has filed the draft Scheme with BSE Limited and National Stock Exchange of India Limited for the purposes of disclosure.
14. With respect to the **Transferor Company**, it is stated that:

a) There are 7 equity shareholders as on 31st December, 2022 and certificate from Chartered Accountant certifying the list of shareholders is annexed with the Application. The copy of the consent affidavit from all the equity shareholders is placed on record. Hence, the Transferor Company is seeking dispensation for holding the meeting of equity shareholders.

b) There is 1 preference shareholder as on 31st December, 2022 and certificate from Chartered Accountant certifying the list of preference shareholder is annexed with the application. The copy of the consent affidavit from the preference shareholder is placed on record. Hence, the Transferor Company is seeking dispensation for holding the meeting of preference shareholder.

c) There are 10 secured creditors as on 31st December, 2022 and certificate from Chartered Accountant certifying the list of secured creditors is annexed with the application. The Transferor Company is seeking dispensation for holding the meeting of secured creditors. The dispensation is sought since the Transferor Company is a wholly owned subsidiary of the Transferee Company and accordingly the entire economic interest of the Transferor Company is held by the Transferee Company and there will be no issuance of shares. Pursuant to the Scheme, all the assets and liabilities of the Transferor Company would be transferred to the Transferee Company. The rights of the creditors of the

Applicant Companies are not likely to be affected by the approval of the Scheme since there will be no reduction in their claims and the assets of the Transferee Company, post amalgamation, will be more than sufficient to discharge their claims.

d) There are 595 unsecured creditors as on 31st December, 2022 and certificate from Chartered Accountant certifying the list of unsecured creditors is annexed with the application. The dispensation is sought since the Transferor Company is a wholly owned subsidiary of the Transferee Company and accordingly the entire economic interest of the Transferor Company is held by the Transferee Company and there will be no issuance of shares. Pursuant to the Scheme, all the assets and liabilities of the Transferor Company would be transferred to the Transferee Company. The rights of the creditors of the Applicant Companies are not likely to be affected by the approval of the Scheme since there will be no reduction in their claims and the assets of the Transferee Company, post amalgamation, will be more than sufficient to discharge their claims.

16. With respect to the **Transferee Company**, it is stated that:

a) There are 87,643 equity shareholders as on 31st December, 2022 and certificate from Chartered Accountant certifying the list of equity shareholders is annexed with the application. The Transferee Company is

seeking dispensation for holding the meeting of equity shareholders. The dispensation is sought since the Transferor Company is a wholly owned subsidiary of the Transferee Company and accordingly the entire economic interest of the Transferor Company is held by the Transferee Company. Further, since it is an amalgamation of a wholly owned subsidiary into the holding company, pursuant to the Scheme, no new shares would be issued or allotted as consideration. Also, the Scheme does not affect the rights and interests of the shareholders as it does not involve any re-organization of the share capital of the Transferee Company. Further, the Scheme will not result in dilution of the shareholding of the Transferee Company.

b) There are 3 preference shareholders and a certificate from a Chartered Accountant certifying the list of the preference shareholders is annexed with the application. The copy of the consent affidavit from all the preference shareholders is placed on record. Hence, the Transferee Company is seeking dispensation for holding the meeting of preference shareholders.

c) There are 8 secured creditors as on 31st December, 2022 and a certificate from Chartered Accountant certifying the list of secured creditors is annexed with the application. The Transferee Company is seeking dispensation for holding the meeting of secured creditors. The dispensation is sought since the Transferor

Company is a wholly owned subsidiary of the Transferee Company and accordingly the entire economic interest of the Transferor Company is held by the Transferee Company. Pursuant to the Scheme, all the assets and liabilities of the Transferor Company would be transferred to the Transferee Company. The rights of the creditors of the Applicant Companies are not likely to be affected by the approval of the Scheme since there will be no reduction in their claims and the assets of the Transferee Company, post amalgamation, will be more than sufficient to discharge their claims.

d) There are 1,556 unsecured creditors as on 31st December, 2022 and a certificate from Chartered Accountant certifying the list of unsecured creditors is annexed with the application. The Transferee Company is seeking dispensation for holding the meeting of unsecured creditors. The dispensation is sought since the Transferor Company is a wholly owned subsidiary of the Transferee Company and accordingly the entire economic interest of the Transferor Company is held by the Transferee Company. Pursuant to the Scheme, all the assets and liabilities of the Transferor Company would be transferred to the Transferee Company. The rights of the creditors of the Applicant Companies are not likely to be affected by the approval of the Scheme since there will be no reduction in their claims and the assets of the Transferee Company, post amalgamation, will be more than sufficient to discharge their claims.

17. The Transferee Company respectfully submits that the Hon'ble High Court of Judicature at Bombay in the case of Mahaamba Investments Limited V/s. IDI Limited (2001) 105 Company Cases page 16 to 18 inter alia observed and held that if the Scheme of Amalgamation provides for no issue of equity shares to the members of the transferor companies, the creditors of the transferee company, are not likely to be affected by the Scheme. Further, the Hon'ble High Court of Bombay in an unreported judgement of Bon Limited dated March 12, 2010 in Company Scheme Petition No. 123 of 2010, reiterated that a separate petition by the transferee company would not be necessary, if the Scheme, by way of transfer of undertaking, does not (a) involve the re-organisation of the capital of the transferee company; and (b) affect the rights of the members or creditors of the transferee company, as between themselves and the company. The said observations are squarely applicable to the proposed Scheme wherein the Transferor Company is being merged into the Transferee Company and the Transferor Company is a wholly owned subsidiary of the Transferee Company. Reliance is also placed on the judgment of Hon'ble National Company Law Appellate Tribunal ('Hon'ble NCLAT') (Company Appeal (AT) No. 19 of 2021) in the case of Ambuja Cements Limited. In the said case, Hon'ble NCLAT set-aside the order of this Tribunal and ordered dispensation of the meeting of equity shareholder, secured and unsecured creditors. Reliance is also placed on the judgment of Hon'ble NCLT in the case of Vodafone Idea Ltd. (CA(CAA) No. 110/NCLT/AHM/2018), Elecon Engineering Co. Ltd. (CA(CAA) No. 150/NCLT/AHM/2018) and Aditya Birla Money Limited (CA(CAA)

No. 80/NCLT/AHM/2018). Further, reliance is also being place on the following decisions of Hon'ble National Company Law Appellate Tribunal, Principal Bench, New Delhi.

- Ambuja Cements Limited (Company Appeal (AT) No. 19 of 2021); and
- Mohit Agro Commodities Processing Private Limited and Gujarat Ambuja Exports Limited (Company Appeal (AT) No. 59 of 2021).

18. The Bench sought some clarification vide order dated 09.05.2023. In compliance with this order, the Applicant Companies filed affidavit on 16.05.2023 and annexed the copy of board resolutions /authorizations for the Transferee Company.

19. Taking into consideration the submissions and the documents filed therewith, we issue the following directions:

i) In relation to the Transferor Company:

a) With respect to equity shareholders:

Convening of the meeting of equity shareholders of the Transferor Company is hereby dispensed with.

b) With respect to preference shareholder:

Convening of the meeting of preference shareholder of the Transferor Company is hereby dispensed with.

c) With respect to Secured Creditors:

Convening of the meeting of secured creditors of the Transferor Company is hereby dispensed with.

d) With respect to Unsecured Creditors:

Convening of the meeting of unsecured creditors of the Transferor Company is hereby dispensed with.

ii) In relation to the Transferee Company:

a) With respect to equity shareholders:

Convening of the meeting of equity shareholders of the Transferee Company is hereby dispensed with.

b) With respect to preference shareholders:

Convening of the meeting of preference shareholders of the Transferee Company is hereby dispensed with.

c) With respect to Secured Creditors:

Convening of the meeting of secured creditors of the Transferee Company is hereby dispensed with.

d) With respect to Unsecured Creditors:

Convening of the meeting of unsecured creditors of the Transferee Company is hereby dispensed with.

20. In compliance of sub-section (5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send a notice in Form No.CAA.3 with a copy of the Scheme of Arrangements, the Explanatory Statement and the

disclosures mentioned under Rule 6, to (1) the Central Government through the Regional Director, North Western Region, (2) the Registrar of Companies, Gujarat, (3) to the Income Tax Department along with full details of assessing officer and PAN numbers of all the Applicant Companies with copy also to the Principal Chief Commissioner of Income Tax Office (iv) the Official Liquidator (v) BSE Limited (vi) National Stock Exchange of India Limited (vii) Securities and Exchange Board of India, to such other Sectoral regulatory authorities who may govern the working of the respective companies involved in the scheme, and objection, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to the proposed Scheme. The said notices shall be sent forthwith by email or by registered post or by speed post or by courier or by hand delivery at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230 of the Act, shall send the same to this Tribunal with a copy of the same to be supplied to the Applicant Companies.

21. The Application is allowed and disposed of in terms of the above directions.

-SD- -SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

SHAMMI KHAN
MEMBER (JUDICIAL)

Swetambary – Steno
Abhishekh - LRA